

volatility of those returns is more consistent. In the long term, the volatility of a market can be used to forecast its returns relative to those of other markets with different risks.

Depending on economic conditions, market returns can differ significantly from period to period. [Table 11-1](#) lists the difference in returns during five independent decades starting in 1950.

TABLE 11-1
Compounded Returns by Decade

	S&P 500	5-year T-notes	T-Bills
1950–1959	19.4	1.3	1.9
1960–1969	7.8	3.5	3.9
1970–1979	5.9	7.0	6.3
1980–1989	17.5	11.9	8.9
1990–1999	18.2	7.1	4.9
2000–2009	−0.9	6.2	2.8

TABLE 11-2
Standard Deviation of Returns by Decade

	S&P 500	5-Year T-Notes	T-Bills
1950–1959	11.8	2.9	0.2
1960–1969	12.1	3.2	0.4
1970–1979	15.9	4.8	0.6
1980–1989	16.4	7.9	0.8
1990–1999	13.4	4.3	0.4
2000–2009	16.1	4.9	0.5